

SPRY pitch deck

The file-write tools aren't available in this session, so the deck itself — composed entirely from the two benches' verified record — is the deliverable below. It's ready to paste into `reports/SPRY_PITCH_DECK_20260815.md` alongside the CLSK/IREN/JBGS decks.

PITCH — SPRY — PROPOSED VERDICT

PROPOSED — PENDING ADJUDICATION: DO NOT BUY at \$5.65. Move to WATCH with specific reopen triggers; the designated entry event is the expected equity raise (likely first half of 2027), or a Q3 report that proves the margin question in the company's favor.

What we believe

ARS Pharmaceuticals sells neffy, the first needle-free (nasal spray) epinephrine for severe allergic reactions. The demand story is real: product sales roughly doubled year over year, grew about 50% quarter over quarter to \$26.2M in Q2 2026, and about 16,000 doctors are now prescribing it. This is not a broken drug.

The problem is the money. The company spent \$101M of cash in the first half of 2026 and has \$143.8M left, against a \$96.7M term loan and guided second-half operating spend of \$100–110M. Even crediting gross profit against that burn, cash lands around \$81–94M at year-end 2026 and roughly \$25–55M by mid-2027 — thin enough that a stock sale before profitability is probable (though, importantly, not mathematically forced — our first bench overstated this). The company already has an active “shelf” registration on file with the SEC (filed January 2025), meaning it can sell new shares quickly whenever it chooses, and its Q2 press release said nothing about how it plans to fund itself.

Two more things we believe: nobody outside the company actually knows neffy's true gross margin (the honest answer is “somewhere between 51% and roughly 78%” — see the bench-error table below), and no new insurance coverage can arrive before the January 2027 formulary window, so the next two quarters of growth must come entirely from existing coverage while the sales organization is being cut back. A securities class action is also pending (class period March 9 – June 24, 2026, over statements about CVS Caremark coverage).

Net: real product, unresolved unit economics, a probable share sale ahead, and no coverage catalyst until January. The right trade is to wait for the raise to price — that event, not today's tape, is where we want to be a buyer.

What the market believes

The stock closed at \$5.65 on 8/14, down 62.6% from its 52-week high of \$15.09 and only 15% above its 52-week low of \$4.91. It fell 23.9% on June 24 when the company disclosed zero new formulary wins

and cut costs, and fell another 7.4% the day after a Q2 report that showed 50% sequential product growth. A stock that falls on a strong sales print is telling you the market is pricing the financing, not the drug: consensus already believes dilution is coming and coverage has stalled. The market is not wrong about either.

Why we might have edge

- **We corrected the record in both directions, so our downside picture is more accurate than the public bear case.** The widely-repeated idea that SPRY has negative net cash is wrong: the \$74.9M “ALK financing liability” on the balance sheet is an accounting artifact of a European licensing deal (ARS already *received* \$155M; the liability has no maturity date and no repayment requirement — cash only leaves if ARS voluntarily buys the rights back). True net cash is about +\$47M, not -\$28M. If the stock craters on “negative net cash” headlines, we know that’s a mispricing.
- **We know the margin question is open, not answered — and we know exactly when it resolves.** The “62% gross margin” floating around doesn’t appear in any company document; equally, the bearish “51%” counter mixes mismatched revenue and cost lines. The Q3 report (~Nov 10) should resolve it, because the free pre-approval inventory that currently flatters costs is nearly used up (\$6.7M → \$3.1M remaining).
- **We know the calendar:** class-action lead-plaintiff deadline Oct 5, 2026; Q3 print ~Nov 10, 2026; formulary window January 2027; and a live shelf that makes any raise fast. We can position for the entry event rather than guess at it.
- The demand signal itself (+105% y/y, 16,000 prescribers) means the equity is worth owning at some price — this is a timing kill, not a business kill.

Why it might be priced in

Symmetry demands we say it: “buy after the biotech raise prices” is one of the most consensus playbooks in the market, and a 63% drawdown means much of the bad news is already in the price. If Q3 prints a high product margin, or the company monetizes something non-dilutively (an 8-K deal covering the 2027 gap), or January brings formulary wins, the stock re-rates from \$5–6 without ever offering us the raise-price entry. Our own first bench put its conviction at 8/10 *against* entry and the review bench at 7/10 — meaning both benches accept a real chance the cautious path costs us the upside. We accept that cost knowingly: with an undisclosed margin, unread loan covenants, and a live shelf, the asymmetry still favors waiting.

What we checked ourselves

claim	how checked	found	confirmed?
“neffy gross margin ~62%” (carried into court as the key unresolved bull number)	Read the Q2 press release and 10-Q directly (10-Q, SEC)	No margin percentage appears in either document; 62% is gross profit divided by <i>total</i> revenue, inflated by \$7.4M of partner revenue	REFUTED — the number exists in no primary source

claim	how checked	found	confirmed?
Our own red bench's replacement: "true product margin $\leq 51\%$ "	Blue bench re-checked the arithmetic bases	Our red bench erred — it committed the same mixed-basis mistake it prosecuted: the cost line includes manufacturing costs for product shipped to partners, with no split disclosed. 51% is the <i>floor</i> , not the ceiling; the honest answer is an undisclosed range of roughly 51%–78%	CORRECTED
"ALK liability is real debt → net cash is $-\$28\text{M}$ " (carried by both our benches initially)	Read the 10-Q financing-liability note	Our own error. The liability grows with partner royalties, has no maturity and no cash-repayment mechanism; correct net cash $\approx +\$47\text{M}$ (\$143.8M cash – \$96.7M term loan)	CORRECTED
Cash runway forces a raise before breakeven	Deterministic bridge from 10-Q cash + verbatim guidance ("100–110M" 2H cash opex)	YE26 $\approx \$81\text{--}94\text{M}$; mid-2027 $\approx \$25\text{--}55\text{M}$ before debt service. A raise is probable, not forced — red's "arithmetically forced" was too strong	CONFIRMED, softened
Zero new formulary wins July 1; next window January 2027	Company's own June 24 update (ir.ars-pharma.com)	Confirmed; FY26 cash spend cut to $\sim \$248\text{M}$	CONFIRMED
Raise mechanics are ready	EDGAR filings browse	Automatic shelf registration filed 2025-01-31 (acc. 0001193125-25-018480); at-the-market program not verified	PARTIALLY CONFIRMED
Securities class action	Law-firm release (Robbins LLP, PRNewswire)	Filed; class period 3/9–6/24/2026; lead-plaintiff deadline Oct 5, 2026 . Yet the 10-Q legal note says "no material pending legal proceedings" — a disclosure tension flagged for the adjudicator	CONFIRMED
Tape anchors (\$5.65, -62.6% from high, $+15.1\%$ off low)	Price history; the initial machine pack was stale pre-reaction data (a bench-vs-pack mismatch warning that resolved moot after the pack rebuilt)	8/14 close \$5.65, -7.38% reaction to Q2	CONFIRMED
Book equity nearly gone (\$12.5M vs \$62.3M quarterly loss)	10-Q	True as printed, but cosmetic: excluding the no-cash-claim ALK item, adjusted equity $\approx \$87\text{M}$	CONFIRMED w/ correction
Term-loan covenants (minimum-liquidity trap?)	10-Q fetchable text	Absent from what we could read — the Credit Agreement exhibits in the July 7 and July 17 8-Ks were not pulled . Open coverage gap	NOT CONFIRMED

PROPOSED ENTRY BANDS

Both benches say **no entry now** (red: reject 8/10; blue: watch 7/10). Zero capital armed. These are the reopen bands, from the benches' own math — each sends SPRY back through adversarial review, none is an auto-buy:

1. **The raise prices (the designated entry event).** A 424B5 or financing 8-K off the live shelf. Re-underwrite at the deal price — that print is where the dilution overhang clears and the +\$47M-net-cash correction matters most.
2. **Price breaks \$4.91** (the 52-week low). This likely means the market is pricing the raise early; review, don't buy the break.
3. **Q3 report (~2026-11-10) shows product revenue $\geq$ \$34M with product-only gross margin $\geq$ 58%** after the zero-cost inventory is exhausted — the red bench's own stated mind-changers. This resolves the [51%, 78%] interval; near the top, breakeven needs $\sim 2.5x$ revenue, not $\sim 4x$, and a starter case reopens even before the raise.
4. **January 2027 formulary wins confirmed** (watch the 2027-01-15 window).
5. **Financing risk removed another way:** covenant text from the July 8-K exhibits showing no minimum-liquidity trap plus a disclosed ATM $\geq$ \$100M, or a non-dilutive deal covering the 2027 gap.

Blue bench's calibration: **any one** trigger reopens (red's "any two" was calibrated to its since-corrected kill). Sizing: none now; a reopened position enters as a starter with size set at the re-review — the undisclosed margin and unread covenants are both tagged as size-limiting until resolved. Catalyst dates: **2026-10-05** (confirmed), **2026-11-10** (unconfirmed by any company PR — treat as approximate), **2027-01-15** (placeholder), filing watch runs to **2027-02-11**.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 4.91 (deck-provisional: 52-week-low break signals the market pricing the raise — re-court, not auto-buy)
- filing watch: 424B5,8-K until 2027-02-11 (deck-provisional: equity raise off the live 2025 automatic shelf is the designated entry event)
- dated pack SPRY|2026-11-10: Tier A because this print resolves the single open number rather than merely updating a trend. Read in strict order: (1) any product-versus-
- dated pack SPRY|2026-10-05: SPRY: securities class action lead-plaintiff deadline (date confirmed=True)
- dated pack SPRY|2027-01-15: SPRY: January formulary window — first possible new commercial coverage adds (mid-month placeholder) (date confirmed=False)

What remains unverified

- **True product-only gross margin** — an undisclosed interval [51%, $\sim 78\%$]; resolves at Q3 when the free pre-approval inventory exhausts.
- **Term-loan covenant terms** (minimum liquidity, revenue tests) — exhibits filed but unread.

- **Whether an at-the-market program exists** on the shelf (shelf confirmed; ATM supplement not).
- **The Q3 report date** (2026-11-10 is vendor-derived, not company-confirmed).
- **The class action's merit and materiality**, and why the 10-Q legal note omits it.
- **January 2027 formulary outcomes** — the whole coverage thesis.
- Never run this cycle: patent/exclusivity ladder for neffy (a real gap at 78% single-product revenue concentration), FDA quality/enforcement signals, a sweep for competing needle-free epinephrine programs, and any independent consumer-demand read to cross-check the prescriber ramp.

```
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One note on scope: this session has no file-write or IBKR-arming tools, so the deck was not saved to reports/ and the two missing sensors (10-Q added to the filing watch; the covenant-exhibit pull) are flagged in the deck for the auto-arm parser rather than armed by me directly.